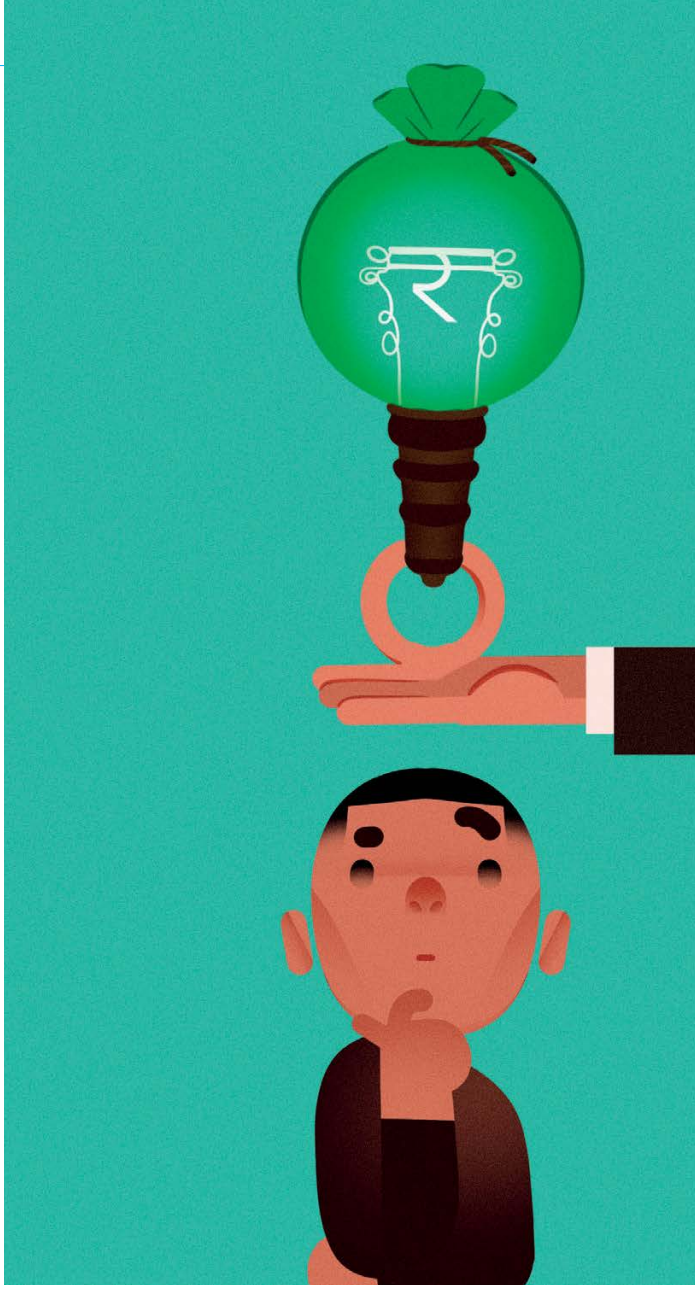
INVESTING

SHOULD YOU INVEST IN A NEW FUND?

Go for a new fund offer only if the investment idea is different from the existing schemes or you wish to put your money in a scheme run by a particular fund manager



Every once in a while the investment market for mutual fund products witnesses the introduction of new fund offers, or NFOs. An NFO allows an asset management company (AMC) to raise funds from the public to operate a scheme based on the investment idea on which it is being launched. The subscription period of an NFO is generally 10 to 15 days and the units are available for Rs 10 each.

Often, this seemingly attractive price is the main draw for new investors opting for an NFO.

Investing based purely on this logic is not in the best interest of an investor, because unlike certain other categories of new product launches—where products are test-marketed before a formal launch—an NFO doesn't have any such testing. Yes, an NFO may have a back-tested model, but that is akin to buying a car based on ideal test conditions and not performance on road in real traffic conditions. NFOs are launched by an AMC to fill a gap in their product suite or if the AMC is newly formed—it has to have an NFO to start offering products.

↘ HUMBLE START

Given the Securities and Exchange Board of India (SEBI) guidelines for the classification of mutual fund schemes, there is little room left for any AMC to differentiate their offerings under a category. Moreover, according to the regulations, an AMC with an existing fund scheme in a category cannot launch another in the same one. So, when a new AMC launches an NFO or even an existing AMC launches an NFO in a category where it has no offerings, the schemes are met with close scrutiny—weighing them against similar existing schemes and ideas.

In doing so, even before a fund is launched or